Northwind Software

Q1 2026 Board Review

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Review date: 2026-04-23
Distribution: Board of Directors only

Agenda

1. Executive Summary
2. Q1 Revenue Performance
3. Customer Metrics
4. Top Customers & Expansion
5. Pipeline & Bookings
6. Team & Operations
7. Risks & Mitigations
8. Q2 Plan & Ask

Executive Summary

- Q1 closed at **€127,000 MRR** — up 23% YoY, below February forecast of €150k
- Variance driven by **ACME renewal slip from March to May** (€23k timing delta)
- **3 new logos closed** in Q1 (€45k combined ARR)
- **1 churn event**: TechCo — 12 seats, €2,400 MRR, competitive loss to billing-integrated peer
- Cash runway: **14 months** at current burn (€78k/mo)
- Recommendation: **Stay the course** — Q2 pipeline already recovers Q1 variance

Q1 2026 Revenue

€127,000

MRR — up 23% YoY

Board deck attached. Down from €150k February forecast; ACME renewal slipped to April and will reconcile in Q2.

Source of truth: finance close, 2026-04-22

Customer Metrics — Q1 2026

Metric	Q4 2025	Q1 2026	Δ
Active customers	42	44	+2
MRR	€118,000	€127,000	+7.6%
ARPU	€2,810	€2,886	+2.7%
Gross logo churn (qtr)	0	1	TechCo
Net revenue retention	108%	106%	−2pp
Expansion MRR	€4,200	€6,800	+62%

Expansion accelerating; churn within tolerance (single-digit annualized).

Top Customers — Q1 2026

Customer	Plan	Seats	MRR	Status
ACME GmbH	Annual	30	€6,000	Expanding Q2 → 50 seats
Globex AG	Annual	22	€4,400	Healthy
Initech	Monthly	18	€3,600	Healthy
Umbrella Co	Annual	15	€3,000	Healthy
Soylent	Monthly	12	€2,400	Upsell conversation open

ACME renewal: 2026-05-15, expanding to 50 seats at €2,400/seat/year = **€120k ARR commitment**.

Pipeline — Q2 2026

- **Committed**: ACME expansion — €120k ARR (signs 2026-05-15)
- **Late-stage**: 4 deals in procurement — €84k combined ARR
- **Mid-stage**: 11 opportunities — €240k weighted pipeline
- **Total weighted pipeline Q2**: **€444k ARR**

Pipeline-to-quota ratio: **3.7x** (healthy; target is 3x).

Sales: Lina (Head of Sales) + 2 AEs. Hiring 3rd AE for Q3.

Team & Operations

- Headcount: **18 FTE** (Eng 10, GTM 5, Ops 3)
- Q1 hires: 1 Senior Engineer (auth/billing), 1 AE (EU mid-market)
- Q2 hiring plan: 1 AE, 1 Customer Success Lead
- Remote-first; quarterly on-site in Berlin (next: 2026-06)
- Burn rate: **€78k/mo** (target ≤ €85k through Q2)

Risks & Mitigations

- **TechCo churn — competitive loss**: 12 seats, €2,400 MRR, reason: "using competitor for billing integration"
  → Mitigation: billing-integration roadmap item promoted to Q2 must-ship (ENG-412)
- **ACME concentration risk**: post-expansion ACME will be 12% of total ARR
  → Mitigation: contract includes multi-year opt-in clause + exec sponsor
- **Forecast variance**: Q1 missed Feb forecast by 15%
  → Mitigation: tightened commit methodology; April reforecast aligned with CFO

Q2 Plan & Board Ask

Plan

- Close ACME 50-seat expansion (2026-05-15)
- Ship billing-integration v1 (ENG-412) to stem churn category
- Hire AE #3 + CS Lead
- Target Q2 exit MRR: **€152k** (+20% QoQ)

Ask from board

- Approval for AE #3 hire (budgeted)
- Intro to 2 prospects in finance vertical (list attached)
- Sign-off on pricing refresh (separate memo)

Questions / discussion — 15 min